of the currency of any of the principal foreign countries with a gold standard. This system, however, would suffer from the drawback that the silver rupee would vanish as soon as the price of silver rose above the melting point of the coin and would need to be replaced with coins with less silver content or nickel coins. It would also be too abstract and complicated for the public to understand. The Commission believed that the public required 'some link that is real, and not only real but conspicuously visible, between their currency and gold.'[12] The Commission had pointed out that certainty and simplicity were lacking in the currency system and in India these were vitally important as without them there would never be confidence in the stability of the system. Without confidence in the stability of the currency, 'the uninstructed public will never be weaned from those uneconomic habits of hoarding and that disinclination to investment which are now the obstacles to the progress of the nation.'[13]

Before describing their own solution of this problem, the Commission dealt in their report with the proposed scheme for the establishment of a gold standard with a gold currency which had been prepared by the Finance Department of the Government of India. The details of the scheme need not be described here, but it assumed the transfer of the management of the paper currency and the conduct of the remittances of the government to the Imperial Bank of India. When the scheme was fully operational, gold coins and bank notes would be unlimited legal tender and silver rupees upto ₹50 only. The government would be under a statutory obligation to give gold coins in exchange for gold bullion, the bank would be under a statutory obligation to buy gold, and bank notes would be payable on demand in gold coin. The chief objectives of this scheme were to eliminate the threat to the currency inherent in the possibility of the rise in the price of silver and also to cure the uneconomic habit of the people of holding precious metals as a store of value.

The chief objection which the Commission found to this scheme was that the government would require £103 million in gold to introduce the scheme in all its stages and the annual cost of the scheme would also be considerable. The other aspects which the Commission considered while rejecting the proposal concerned the effect on gold prices; supplies of credit and interest rates in the world; the effect of the scheme on the silver market of the world; the effect on silver as a favourite store of value in India and;